**UNITED STATES COURT OF APPEALS
FOR THE ELEVENTH CIRCUIT**

ELBERT PARR TUTTLE COURT OF APPEALS BUILDING
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Atlanta, Georgia 30303

David J. Smith
Clerk of Court

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August 07, 2020

Braden Ball Jr.
Braden K. Ball, Jr., PA
40 PALAFOX PL STE 300
PENSACOLA, FL 32502

Appeal Number: 20-12897-G
Case Style: Deepgulf, Inc., et al v. Marc Moszkowski
District Court Docket No: 3:18-cv-01466-TKW-MJF

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The referenced case has been docketed in this court. Please use the appellate docket number noted above when making inquiries.

Attorneys who wish to participate in this appeal must be admitted to the bar of this Court, admitted for this particular proceeding pursuant to 11th Cir. R. 46-3, or admitted pro hac vice pursuant to 11th Cir. R. 46-4. In addition, all attorneys (except court-appointed counsel) who wish to participate in this appeal must file an Appearance of Counsel form within 14 days. The Application for Admission to the Bar and Appearance of Counsel Form are available at www.ca11.uscourts.gov. The clerk generally may not process filings from an attorney until that attorney files an appearance form. See 11th Cir. R. 46-6(b).

11th Cir. R. 33-1(a) requires appellant to file a Civil Appeal Statement in most civil appeals. You must file a completed Civil Appeal Statement, with service on all other parties, within 14 days from the date of this letter. Civil Appeal Statement forms are available on the Internet at www.ca11.uscourts.gov, and as provided by 11th Cir. R. 33-1(a).

MEDIATION. If a Civil Appeal Statement is required to be filed, your appeal and all related matters will be considered for mediation by the Kinnard Mediation Center. The mediation services are free and the mediation process is confidential. You may confidentially request mediation by calling the Kinnard Mediation Center at 404-335-6260 (Atlanta) or 305-714-1900 (Miami). See 11th Cir. R. 33-1.

Every motion, petition, brief, answer, response and reply filed must contain a Certificate of Interested Persons and Corporate Disclosure Statement (CIP). Appellants/Petitioners must file a CIP within 14 days after the date the case or appeal is docketed in this court; Appellees/Respondents/Intervenors/Other Parties must file a CIP within 28 days after the case or appeal is docketed in this court, regardless of whether appellants/petitioners have filed a CIP. See FRAP 26.1 and 11th Cir. R. 26.1-1.

On the same day a party or amicus curiae first files its paper or e-filed CIP, that filer must also complete the court's web-based CIP at the Web-Based CIP link on the court's website. Pro se filers (except attorneys appearing in particular cases as pro se parties) are **not required or authorized** to complete the web-based CIP.

Pursuant to Eleventh Circuit Rule 42-1(b) you are hereby notified that upon expiration of (14) days from this date, this appeal will be dismissed by the clerk without further notice unless the default(s) noted below have been corrected:

File a Transcript Information Form, as required by Fed.R.App.P. 10(b)(1); a Transcript Information Form is available from the district court clerk. Appellant is required to file and serve copies of the form in accordance with the instructions included on the form. UNLESS A TRANSCRIPT IS ORDERED, APPELLANT'S BRIEF MUST BE SERVED AND FILED WITHIN 40 DAYS FROM August 3, 2020. See 11th Cir. R. 12-1 and 31-1.

Sincerely,

DAVID J. SMITH, Clerk of Court

Reply to: Lee Aaron, G
Phone #: 404-335-6172

DKT-2 Appeal WITH Deficiency

IN THE UNITED STATES DISTRICT COURT FOR THE
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v. CASE NO. 3:18-CV-1466-TKW-MJF

MARC M. MOSZKOWSKI,

Defendant.

_______________________________________/

NOTICE OF APPEAL

Notice is hereby given that DeepGulf, Inc. and Toke Oil and Gas, S.A., Plaintiffs and Counter Defendants in the above named case, hereby appeal to the United States Court of Appeals for the 11th Circuit from the Corrected Final Judgment entered in this action on July 2, 2020 [Doc. 168]; the Order on Motions for Summary Judgment [Doc. 150]; and Order denying Motion to Amend [Doc. 130].

BRADEN K. BALL, JR.
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have on this 31st day of July, 2020, a copy of the foregoing has been furnished to the Defendant's counsel, Mary Allie E. Boller (allie@bollerlawfirm.com) and Thomas R. Boller (tom@bollerlawfirm.com), via the Court's E-filing system.

BRADEN K. BALL, JR.

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.

______________________________/

CORRECTED* FINAL JUDGMENT

For the reasons stated in the Order on Motions for Summary Judgment (Doc. 150) and on the record at the bench trial on June 17, 2020, it is

ORDERED that:

1. Judgment is entered in favor of Plaintiff, DeepGulf, Inc., on Count I of the Complaint, and the Court declares that Plaintiff, DeepGulf, Inc., owns the following intellectual properties: United States Patent number: 9644792; United States Patent number: 8146667; United States Patent Publication number: 201200014751; United States Patent Publication number: 20120012225; United States Patent Publication number: 20060130729; and any and all undisclosed inventions and / or patentable ideas or methods conceived by Defendant beginning on September 15, 2005, through the

* Corrected only as to a typographical error in the last sentence of paragraph 1.

date of this judgment. Defendant shall not use these intellectual properties for his personal gain without DeepGulf's express consent.

2. Judgment is entered in favor of Defendant on Counts II through IX[1] of the Complaint, and Plaintiffs shall go hence without day on those claims.
3. Judgment is entered in favor of Plaintiffs on Counts I through IV of Defendant's Counterclaims, and Defendant shall go hence without day on those claims.
4. The Clerk shall close the file.

DONE and ORDERED this 2nd day of July, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

[1] The accounting claims in Count IX of the Complaint and Count I of Defendant's Counterclaims are not causes of action but remedies tied to other counts. *See* Doc. 150, at 11-12 (citing *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014)).

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and **TOKE OIL AND GAS, S.A.,**

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.

______________________________/

ORDER ON MOTIONS FOR SUMMARY JUDGMENT

The parties to this business dispute have a convoluted relationship: Plaintiff DeepGulf, Inc., owns Plaintiff Toke Oil and Gas, S.A., and Defendant was a founder of both companies and is still a director of DeepGulf. The parties' dispute stems from work Defendant did for Toke (before it was owned by DeepGulf) that he was allegedly supposed to be doing to benefit DeepGulf (not himself), but it also involves claims and counterclaims on other matters.

The case is before the Court on the parties' motions for summary judgment (Docs. 137, 139) and related filings (Docs. 138, 140, 143-45, 148-49). No hearing is necessary to rule on the motions, and for the reasons that follow, the Court finds that the motions are due to be granted in part and denied in part.

Summary Judgment Standard

Summary judgment should be granted under Fed. R. Civ. P. 56 when, after viewing the record and the reasonable inferences drawn from it in the light most favorable to the non-moving party, the Court determines that no genuine issue exists as to any material fact and that the moving party is entitled to judgment as a matter of law. *Holifield v. Reno*, 115 F.3d 1555, 1561 (11th Cir. 1997). A genuine issue of material fact is one that would change the outcome of the litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). The moving party "bears the initial burden of demonstrating the absence of a genuine dispute of material fact." *Baas v. Fewless*, 886 F.3d 1088, 1091 (11th Cir. 2018) (citations omitted). Once the moving party has met its burden, the non-moving party must put forward specific facts showing a genuine issue for trial. *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986). "Where the record taken as a whole could not lead a rational trier of fact to find for the non[-]moving party, there is no genuine issue for trial." *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (internal quotation marks omitted).

Facts

DeepGulf was formed in 2004 by Defendant and Rustin Howard. Defendant has been a director of DeepGulf since its inception.

In August 2005, Defendant was hired as DeepGulf's president at an annual salary of $120,000, and the following month, he signed a Noncompetition, Nondisclosure, and Developments Agreement (hereafter "the Noncompetition Agreement") with DeepGulf. The Noncompetition Agreement provides that Defendant shall not directly or indirectly compete with DeepGulf while he has a Business Relationship[1] with DeepGulf. It also provides that any Development[2] conceived by Defendant during his Business Relationship with DeepGulf is "the sole and absolute property of [DeepGulf]."

In September 2007, a potential customer contacted DeepGulf about a project in the Southeast Asian country of East Timor. Mr. Howard turned the inquiry over to Defendant, and Defendant traveled to East Timor to investigate the business opportunity. In early 2008, Defendant and two other persons[3] formed Toke to

[1] The Agreement defines "Business Relationship" to mean "service or continued service as an employee, officer, **director**[,] or consultant . . . of DeepGulf." Doc. 140-1, at 1 (emphasis added).

[2] The Agreement defines "Development" as any "invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret[,] or intellectual property right whatsoever[,] or any interest therein (whether or not patentable or registerable under copyright, trademark[,] or similar statutes or subject to analogous protection) relating to the business of [DeepGulf]." Doc. 140-1, at 3 (¶6(a)).

[3] The parties disagree as to the identity of Toke's other two founding shareholders; however, it is undisputed that at the time DeepGulf acquired Toke's shares in 2012, they were owned by Defendant, Ernesto Gino Favaro, and Vincente Ximenes in equal one-third shares.

undertake the project because DeepGulf, as a U.S. corporation, could not work in East Timor.

Toke paid commissions to DeepGulf for this project and several others that Toke worked on in East Timor from 2008 to 2012. Defendant received payments from both DeepGulf and Toke over that period. The payments were comprised of W-2 wages from DeepGulf ranging from $110,000 to $132,000 per year, and shareholder distributions from Toke totaling $345,000. Other Toke shareholders received distributions as well, totaling over $950,000, but DeepGulf did not receive any shareholder distributions because it was not a shareholder of Toke.

DeepGulf acquired a controlling interest in—if not sole ownership of—Toke by December 13, 2012, at the latest. Toke has not had any projects since then.

DeepGulf has not paid Defendant's salary since March 2013. Defendant was removed as an executive officer of DeepGulf in 2017, but he remains a director of the company.

Aside from these facts (and several others interspersed in the analysis below), the parties disagree about nearly everything else. Most significantly, the parties dispute whether Defendant was supposed to be holding his one-third interest in Toke for DeepGulf's benefit or his own benefit; when DeepGulf became aware that Defendant was being paid by Toke and that he was not holding his interest in Toke for DeepGulf's benefit; whether the payments received by Defendant from Toke should have gone to DeepGulf as shareholder distributions; whether Defendant agreed to waive the payment of his salary or merely deferred its receipt until DeepGulf earned revenue or received capital investments; and whether since DeepGulf stopped paying Defendant's salary, it has earned revenue or received capital investments.

Procedural Background

In April 2018, Plaintiffs filed suit against Defendant in state court. The complaint (Doc. 1, at 22-36) alleges nine counts. Count I seeks declaratory and injunctive relief regarding DeepGulf's ownership of certain patents, patent applications, and undisclosed inventions; Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf; Counts III and IV allege civil theft; Counts V and VI allege conversion; Count VII alleges fraudulent misrepresentation; Count VIII seeks declaratory relief regarding DeepGulf's ownership of Toke; and Count IX seeks an accounting.

Defendant, then *pro se*, removed the case to this Court and filed a narrative answer asserting various defenses and counterclaims. About a year into the case, counsel appeared for Defendant and was granted leave of court to amend the answer and clean up the pleadings. The now-operative second amended answer (Doc. 116) raises various affirmative defenses[4] and alleges four counterclaims. Counterclaim I seeks an accounting; Counterclaim II alleges breach of contract for unpaid compensation; Counterclaim III seeks compensation for work and labor done under a theory of *quantum meruit*; and Counterclaim IV alleges breach of contract regarding DeepGulf's failed efforts to secure a permanent resident visa for Defendant.

In November 2019, after almost 18 months of discovery (and numerous discovery disputes), both parties filed motions for summary judgment. Collectively, the motions seek summary judgment on all of the claims and counterclaims. The motions were fully briefed and are ripe for rulings.

Analysis

Count I seeks a declaration that DeepGulf owns certain patents (numbers 9644792 and 8146667), patent applications (publication numbers 20120014751, 20120012225, and 20060130729), and other undisclosed inventions and/or patentable ideas or methods conceived by Defendant.[5] The Court finds that DeepGulf is entitled to such a declaration because the Noncompetition Agreement's definition of "Development" is broad enough to encompass the patents, patent

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[4] Duress and failure of consideration as to Counts I and II; statute of limitations and waiver as to Counts III though VI; waiver as to Count VII; and lack of standing with respect to the claims raised by Toke.

[5] *See, e.g.*, Defendant's deposition (Doc. 139-2), at 108-09 (referring to previously undisclosed developments relating to compressed natural gas and liquified natural gas).

applications, and undisclosed inventions, and it is undisputed that Defendant was in a "Business Relationship" with DeepGulf when these items were conceived since he was then (and is still now) a director of DeepGulf.

The Court has not overlooked Defendant's argument—which was raised in his deposition but not repeated in his response to Plaintiffs' motion for summary judgment—that patent number 9644792 belongs to him because DeepGulf had not paid him a salary for over two years before the patent was filed. However, as Plaintiffs persuasively argue, DeepGulf's obligation to pay Defendant a salary and Defendant's obligation to assign Developments to DeepGulf are wholly independent, so Defendant's lack of salary has no bearing on DeepGulf's ownership of the Developments under the Noncompetition Agreement. *See Gilbert & Caddy, P.A. v. JP Morgan Chase Bank, N.A.*, 193 F. Supp. 3d 1294, 1307 (S.D. Fla. 2016) ("A material breach to excuse performance only occurs when a party breaches mutually dependent covenants in a contract, and does not occur when a contract is composed of independent covenants.") (alterations and internal quotation marks omitted). Accordingly, Plaintiffs are entitled to summary judgment on Count I.

Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf. To the extent this count is based on Defendant's refusal to turn over the usernames and passwords for DeepGulf's website, it fails because even if these items are DeepGulf's property (as they likely are), Defendant has no obligation to turn them over to DeepGulf at this time because, as a director, he still has a Business Relationship with the company. *See* Noncompetition Agreement (Doc. 140-1), at ¶5 ("I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. **Immediately upon the termination of my Business Relationship with the Company**, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.") (emphasis added). To the extent this count is based on the allegations in the complaint that Defendant "repeatedly expressed his intent" to leave DeepGulf to work for a competitor or to start a company that would compete with DeepGulf, the claim fails because the Noncompetition Agreement precluded Defendant from competing with DeepGulf, not merely threatening to do so. Finally, to the extent this count is based on Defendant's work for Toke, it is barred by the statute of limitations because the complaint was filed more than five years[6] after the date DeepGulf acquired a controlling interest in Toke, and from that date forward, the two companies were no longer competitors (if they ever were) and Defendant was no longer violating his Noncompetition Agreement (if he ever was) by working for Toke.

On the latter point, the Court has not overlooked DeepGulf's argument that Defendant's fraudulent concealment of his work for Toke delays accrual of the

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[6] Under Florida law, the statute of limitations for a breach of contract claim is five years. *See* §95.11(2)(b), Fla. Stat.

claim; however, under Florida law, a breach of contract action accrues at the time of the breach "regardless of whether the plaintiff knew that it had a claim." *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)); *see also Pac. Harbor Cap., Inc. v. Barnett Bank, N.A.*, 2000 U.S. Dist. LEXIS 6518, at *26-27 (M.D. Fla. Mar. 31, 2000) ("[T]he doctrine of fraudulent concealment is unavailable under Florida law[.]"). Thus, even if DeepGulf was unaware that Defendant was working on projects to benefit Toke and himself rather than DeepGulf until some point within five years of when the complaint was filed, that would not overcome Defendant's statute of limitations defense. Accordingly, Defendant is entitled to summary judgment as to Count II.

Counts III through VI allege that Defendant committed civil theft and conversion by misappropriating DeepGulf's business opportunities and working on projects to benefit Toke and himself rather than DeepGulf. These claims accrued in 2012, at the latest, when Toke completed the allegedly misappropriated projects, and because the complaint was filed after the applicable statutes of limitations[7] expired, these claims are time-barred. The Court has not overlooked Plaintiffs' argument that factual disputes remain as to when DeepGulf should have discovered the

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[7] Under Florida law, the statute of limitations for civil theft is five years, *see* §772.17, Fla. Stat., and the statute of limitations for conversion is four years, *see* §95.11(3)(h), Fla. Stat.

misappropriation; however, under Florida law, the delayed discovery rule does not apply to claims for civil theft and conversion. *See Davis v. Monahan*, 832 So. 2d 708 (Fla. 2002).[8] Accordingly, Defendant is entitled to summary judgment on Counts III through VI.

Count VII alleges that Defendant made fraudulent representations in connection with a private placement memorandum (PPM) that DeepGulf used to solicit funds from potential investors. Although there is some dispute as to whether the information provided by Defendant was false or misleading, this claim fails because there is no evidence that DeepGulf (as compared to the potential investors) suffered any damages in reliance on the alleged misrepresentations in the PPM. *See Echeverria v. BAC Home Loans Serv., LP*, 900 F. Supp. 2d 1299, 1308-09 (M.D. Fla. 2012) (holding that a fraudulent misrepresentation claim fails as a matter of law where the plaintiffs present no evidence that they suffered injury in reliance on the defendant's fraudulent misrepresentations). Accordingly, Defendant is entitled to summary judgment on Count VII.

Count VIII seeks a declaratory judgment as to whether DeepGulf owns all of the outstanding shares of Toke. It is undisputed that DeepGulf had acquired two

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[8] Plaintiffs' reliance on *Butler Univ. v. Bahssin*, 892 So. 2d 1087 (Fla. 2d DCA 2004), for the proposition that the delayed discovery rule applies to claims of conversion is misplaced because *Butler* did not cite *Davis* and instead relied on an earlier case, *Hearndon v. Graham*, 767 So. 2d 1179 (Fla. 2000), which *Davis* confined to its facts.

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thirds of Toke's shares as of December 13, 2012, but the parties disagree as to whether DeepGulf had also acquired the remaining one third of the shares owned by Mr. Ximenes. Specifically, the parties disagree as to whether DeepGulf paid Mr. Ximenes for his shares, with Mr. Howard claiming that it did and Defendant claiming that it did not. Although this suggests that there may be a justiciable controversy between DeepGulf and **Mr. Ximenes** regarding the ownership of Toke, there is not one between DeepGulf and **Defendant**. Thus, Count VIII is due to be dismissed for lack of a case or controversy. Alternatively, this count is due to be dismissed for failure to join an indispensable party (Mr. Ximenes) because the Court cannot determine whether DeepGulf owns all of Toke's shares without also determining whether Mr. Ximenes owns any. *See Miami Herald Media Co. v. Fla. Dep't of Transp.*, 345 F. Supp. 3d 1349, 1371 (N.D. Fla. 2018) ("The indispensable-party issue may be raised on appeal and by the court *sua sponte* at any time.").

Count IX, which seeks an accounting from Defendant of Toke's revenues and expenses, appears to be premised on DeepGulf's claims that Defendant misappropriated its business opportunities and kept monies for himself that should have gone to DeepGulf. However, because "an accounting is best understood as a remedy for a cause of action, not as a cause of action in its own right," it may only be pursued where there is a viable independent cause of action. *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014). Here, because Defendant is entitled to summary judgment on all of the claims that might justify an accounting, there is no basis for the accounting requested in Count IX.

Counterclaim I seeks an accounting from DeepGulf, and unlike Count IX of the complaint, this counterclaim is based on a viable independent cause of action, *i.e.*, Defendant's breach of contract claim in Counterclaim II. However, one element of a claim for an accounting is that "a remedy at law would be inadequate." *Astrotel, Inc. v. Verizon Fla., LLC*, 2012 U.S. Dist. LEXIS 63172, at *29-30 (M.D. Fla. May 4, 2012) ("To successfully plead a claim for equitable accounting under Florida law, a plaintiff must allege that (1) a fiduciary relationship or complex transaction exists, and (2) a remedy at law would be inadequate."). Here, aside from a general "concern" that DeepGulf's monies were spent improperly, Defendant did not present any evidence that there is no adequate remedy at law for his breach of contract claim. *See Kee v. Nat'l Reserve Life Ins. Co.*, 918 F.2d 1538, 1541 (11th Cir. 1990) ("When a judgment for breach of contract is obtainable, the remedy at law is considered adequate, precluding the need for the imposition of an equitable remedy."). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim I.

Counterclaim II seeks compensation for unpaid salary that Defendant claims to be owed based on his August 2005 employment agreement with DeepGulf. DeepGulf contends that Defendant subsequently waived his contractual right to receive his salary until DeepGulf started making money again. Although the evidence is undisputed that, in late 2012, Defendant agreed that DeepGulf could stop paying him a salary until "the money comes back," *see* Doc. 139-2, at 199, the parties dispute whether the condition triggering DeepGulf's obligation to restart payment of Defendant's salary (and pay his accrued-but-unpaid salary) occurred, with Defendant claiming that "money started coming back in the company . . . only three months after [his] salary had been discontinued," *id.* at 202, and Mr. Howard claiming that DeepGulf "has not generated any revenue or investor capital since 2012," *see* Doc. 140, at 7 (¶33). Based on this conflicting evidence, summary judgment on Counterclaim II is inappropriate.

Counterclaim III seeks compensation for work and labor done, presumably under a theory of *quantum meruit*. However, because there is an express agreement addressing Defendant's salary, he is foreclosed from pursuing a claim for work and labor done under *quantum meruit*. *See Marriott Corp. v. Dasta Constr. Co.*, 26 F.3d 1057, 1069 n.24 (11th Cir. 1994) ("The presence of express contractual provisions directly addressing [the counterclaimant's] claims . . . forecloses [the counterclaimant] from recovering on its *quantum meruit* claim.") (citing *Harding Realty, Inc. v. Turnberry Towers Corp.*, 436 So. 2d 983, 984 (Fla. 3d DCA 1983), for the "settled rule of Florida law that *quantum meruit* is inappropriate where a valid express contract exists"). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim III.

Counterclaim IV alleges that DeepGulf breached its obligation to obtain a permanent resident visa for Defendant. The undisputed evidence refutes this claim because it establishes that DeepGulf made a good-faith effort to obtain the visa by hiring a lawyer for Defendant (of his choosing), responding to government requests for information, filling out necessary forms and submitting supporting documentation, and moving money around to help with the application process. The fact that the Government ultimately denied the visa is beyond DeepGulf's control and not grounds for a breach of contract claim. Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim IV.

Conclusion

In sum, for the reasons stated above, it is **ORDERED** that:

1. Plaintiffs' motion for summary judgment (Doc. 139) is **GRANTED** as to Count I of the complaint and Counterclaims I, III, and IV, and **DENIED** in all other respects.
2. Defendant's motion for summary judgment (Doc. 137) is **GRANTED** as to Counts II through VII of the complaint, and **DENIED** in all other respects.
3. Count VIII is **DISMISSED without prejudice.**

Additionally, because it appears that this case is now ready to be set for trial, it is **FURTHER ORDERED** that within 7 days of the date of this Order, the parties

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shall confer and advise the Court of <u>several</u> mutually agreeable dates during the weeks of February 10-14 and 17-21, 2020, for a telephonic case management conference to set this case for trial.

DONE and ORDERED this 27th day of January, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and **TOKE OIL AND GAS, S.A.,**

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.

_______________________________/

ORDER DENYING MOTION TO AMEND

This case is before the Court on Plaintiffs' motion for leave to file an amended complaint (Doc. 121). Defendant filed a response in opposition to the motion (Doc. 123), and the parties were afforded an opportunity to present argument on the motion at a telephonic hearing held on a separate motion on November 5, 2019. No further argument is necessary to rule on the motion.

The motion is untimely. The deadline for amending pleadings was almost a year ago (*see* Doc. 30, at 2), discovery closed last week (Doc. 109), and the deadline for dispositive motions is less than two weeks away (*id.*).

It is well-established in the Eleventh Circuit that "[a] plaintiff seeking leave to amend its complaint after the deadline designated in a scheduling order must demonstrate 'good cause' under Fed. R. Civ. P. 16(b)." *S. Grouts & Mortars, Inc.*

v. 3M Co., 575 F.3d 1235, 1241 (11th Cir. 2009). Here, the motion does not articulate any reason for the untimely request to amend, much less "good cause" for the request.

Plaintiffs argued at the telephonic hearing that they decided to seek leave to amend the complaint after Defendant produced an email that they had not previously seen in conjunction with his recently-filed affirmative defenses. Even if that is true, it does not amount to "good cause" because the email does not change the fact that the allegations on which the proposed new breach of contract count is based (i.e., Defendant allegedly violating his non-compete agreement with Plaintiff DeepGulf by working for and receiving $345,000 from Plaintiff Toke Oil & Gas) were known to Plaintiffs long before the email was disclosed because those facts were included in the original complaint. Thus, the recent disclosure of the email does not excuse the untimely filing of the motion.

Plaintiffs also candidly acknowledged at the telephonic hearing that they wanted to amend the complaint to assert a breach of contract count to overcome potential statute of limitations issues with the claims in the original complaint that involve the same operative facts. That does not constitute "good cause." Indeed, it is unclear how asserting a breach of contract claim would cure any potential statute of limitations issues because, unlike some types of claims that do not accrue until the plaintiff knows or should know about them, a breach of contract claim under

Florida law accrues at the time of the breach "regardless of whether the plaintiff knew it had a claim." *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)). Here, according to the proposed amended complaint, the alleged breach occurred when Defendant worked for a competitor in violation of his non-compete agreement "[f]rom 2010 to 2011" (Doc. 121, at 25), which is more than 5 years[1] before the original complaint was filed in April 2018. Thus, unless the Court is missing something, it would be futile for Plaintiffs to amend the complaint to add the proposed new breach of contract claim even if they had established "good cause" for their untimely motion.[2]

The Court has not overlooked Fed. R. Civ. P. 15(a)(2), which provides that leave to amend should be "freely give[n] . . . when justice so requires," or Plaintiffs' argument that Defendant will not be prejudiced by the amendment because the proposed new breach of contract claim arises out of the same operative facts as the claims in the original complaint. However, those points are irrelevant unless

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[1] Under Florida law, the statute of limitations for a breach of contract claim is 5 years. *See* §95.11(2)(b), Fla. Stat.

[2] The Court has not overlooked the case submitted by Plaintiffs as supplemental authority, *Bilic v. New Fairways Inv. of Fla., Inc.*, 543 So. 2d 458 (Fla. 5th DCA 1989). *See* Doc. 129. However, that case has no bearing on the Court's decision because (1) unlike the Eleventh Circuit cases cited in this Order, state appellate court decisions are not binding on this Court; (2) *Bilic* was decided under the Florida rules of civil procedure, not the federal rules that govern the Court's review of Plaintiffs' motion; and (3) unlike here, there appears to have been no question in *Bilic* that the breach of contract claim was not time-barred.

Plaintiffs first establish good cause for their untimely motion. *See Sosa v. Airprint Sys., Inc.*, 133 F.3d 1417, 1419 (11th for Cir. 1998) ("If [the plaintiff]'s motion for leave to amend had been filed within the time prescribed by the scheduling order, Rule 15(a) would be our primary focus . . . . However, because [the plaintiff]'s motion to amend was filed after the scheduling order's deadline, she must first demonstrate good cause under Rule 16(b) before we will consider whether amendment is proper under Rule 15(a). If we considered only Rule 15(a) without regard to Rule 16(b), we would render scheduling orders meaningless and effectively would read Rule 16(b) and its good cause requirement out of the Federal Rules of Civil Procedure.") (citations omitted). Because Plaintiffs did not establish good cause, the Court need not consider whether Defendant would be prejudiced by the amendment.

That said, the Court is not unsympathetic to Plaintiffs' argument that Defendant has been given ample opportunity to amend its pleadings and that Plaintiff has not previously amended its complaint. However, at this stage of the proceeding, the Court sees no good reason to re-open the pleadings and further delay the disposition of this case.

Accordingly, it is **ORDERED** that Plaintiffs' motion for leave to amend the complaint (Doc. 121) is **DENIED**.

DONE and ORDERED this 6th day of November, 2019.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and **TOKE OIL AND GAS, S.A.**,

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.
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ORDER DENYING MOTION TO AMEND

This case is before the Court on Plaintiffs' motion for leave to file an amended complaint (Doc. 121). Defendant filed a response in opposition to the motion (Doc. 123), and the parties were afforded an opportunity to present argument on the motion at a telephonic hearing held on a separate motion on November 5, 2019. No further argument is necessary to rule on the motion.

The motion is untimely. The deadline for amending pleadings was almost a year ago (*see* Doc. 30, at 2), discovery closed last week (Doc. 109), and the deadline for dispositive motions is less than two weeks away (*id.*).

It is well-established in the Eleventh Circuit that "[a] plaintiff seeking leave to amend its complaint after the deadline designated in a scheduling order must demonstrate 'good cause' under Fed. R. Civ. P. 16(b)." *S. Grouts & Mortars, Inc.*

v. 3M Co., 575 F.3d 1235, 1241 (11th Cir. 2009). Here, the motion does not articulate any reason for the untimely request to amend, much less "good cause" for the request.

Plaintiffs argued at the telephonic hearing that they decided to seek leave to amend the complaint after Defendant produced an email that they had not previously seen in conjunction with his recently-filed affirmative defenses. Even if that is true, it does not amount to "good cause" because the email does not change the fact that the allegations on which the proposed new breach of contract count is based (i.e., Defendant allegedly violating his non-compete agreement with Plaintiff DeepGulf by working for and receiving $345,000 from Plaintiff Toke Oil & Gas) were known to Plaintiffs long before the email was disclosed because those facts were included in the original complaint. Thus, the recent disclosure of the email does not excuse the untimely filing of the motion.

Plaintiffs also candidly acknowledged at the telephonic hearing that they wanted to amend the complaint to assert a breach of contract count to overcome potential statute of limitations issues with the claims in the original complaint that involve the same operative facts. That does not constitute "good cause." Indeed, it is unclear how asserting a breach of contract claim would cure any potential statute of limitations issues because, unlike some types of claims that do not accrue until the plaintiff knows or should know about them, a breach of contract claim under

Florida law accrues at the time of the breach "regardless of whether the plaintiff knew it had a claim." *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)). Here, according to the proposed amended complaint, the alleged breach occurred when Defendant worked for a competitor in violation of his non-compete agreement "[f]rom 2010 to 2011" (Doc. 121, at 25), which is more than 5 years[1] before the original complaint was filed in April 2018. Thus, unless the Court is missing something, it would be futile for Plaintiffs to amend the complaint to add the proposed new breach of contract claim even if they had established "good cause" for their untimely motion.[2]

The Court has not overlooked Fed. R. Civ. P. 15(a)(2), which provides that leave to amend should be "freely give[n] . . . when justice so requires," or Plaintiffs' argument that Defendant will not be prejudiced by the amendment because the proposed new breach of contract claim arises out of the same operative facts as the claims in the original complaint. However, those points are irrelevant unless

[1] Under Florida law, the statute of limitations for a breach of contract claim is 5 years. *See* §95.11(2)(b), Fla. Stat.

[2] The Court has not overlooked the case submitted by Plaintiffs as supplemental authority, *Bilic v. New Fairways Inv. of Fla., Inc.*, 543 So. 2d 458 (Fla. 5th DCA 1989). *See* Doc. 129. However, that case has no bearing on the Court's decision because (1) unlike the Eleventh Circuit cases cited in this Order, state appellate court decisions are not binding on this Court; (2) *Bilic* was decided under the Florida rules of civil procedure, not the federal rules that govern the Court's review of Plaintiffs' motion; and (3) unlike here, there appears to have been no question in *Bilic* that the breach of contract claim was not time-barred.

Plaintiffs first establish good cause for their untimely motion. *See Sosa v. Airprint Sys., Inc.*, 133 F.3d 1417, 1419 (11th for Cir. 1998) ("If [the plaintiff]'s motion for leave to amend had been filed within the time prescribed by the scheduling order, Rule 15(a) would be our primary focus . . . . However, because [the plaintiff]'s motion to amend was filed after the scheduling order's deadline, she must first demonstrate good cause under Rule 16(b) before we will consider whether amendment is proper under Rule 15(a). If we considered only Rule 15(a) without regard to Rule 16(b), we would render scheduling orders meaningless and effectively would read Rule 16(b) and its good cause requirement out of the Federal Rules of Civil Procedure.") (citations omitted). Because Plaintiffs did not establish good cause, the Court need not consider whether Defendant would be prejudiced by the amendment.

That said, the Court is not unsympathetic to Plaintiffs' argument that Defendant has been given ample opportunity to amend its pleadings and that Plaintiff has not previously amended its complaint. However, at this stage of the proceeding, the Court sees no good reason to re-open the pleadings and further delay the disposition of this case.

Accordingly, it is **ORDERED** that Plaintiffs' motion for leave to amend the complaint (Doc. 121) is **DENIED**.

DONE and ORDERED this 6th day of November, 2019.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

**UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION**

DEEPGULF, INC., and **TOKE OIL AND GAS, S.A.**,

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.
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ORDER ON MOTIONS FOR SUMMARY JUDGMENT

The parties to this business dispute have a convoluted relationship: Plaintiff DeepGulf, Inc., owns Plaintiff Toke Oil and Gas, S.A., and Defendant was a founder of both companies and is still a director of DeepGulf. The parties' dispute stems from work Defendant did for Toke (before it was owned by DeepGulf) that he was allegedly supposed to be doing to benefit DeepGulf (not himself), but it also involves claims and counterclaims on other matters.

The case is before the Court on the parties' motions for summary judgment (Docs. 137, 139) and related filings (Docs. 138, 140, 143-45, 148-49). No hearing is necessary to rule on the motions, and for the reasons that follow, the Court finds that the motions are due to be granted in part and denied in part.

Summary Judgment Standard

Summary judgment should be granted under Fed. R. Civ. P. 56 when, after viewing the record and the reasonable inferences drawn from it in the light most favorable to the non-moving party, the Court determines that no genuine issue exists as to any material fact and that the moving party is entitled to judgment as a matter of law. *Holifield v. Reno*, 115 F.3d 1555, 1561 (11th Cir. 1997). A genuine issue of material fact is one that would change the outcome of the litigation. *Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 248 (1986). The moving party "bears the initial burden of demonstrating the absence of a genuine dispute of material fact." *Baas v. Fewless*, 886 F.3d 1088, 1091 (11th Cir. 2018) (citations omitted). Once the moving party has met its burden, the non-moving party must put forward specific facts showing a genuine issue for trial. *Celotex Corp. v. Catrett*, 477 U.S. 317, 324 (1986). "Where the record taken as a whole could not lead a rational trier of fact to find for the non[-]moving party, there is no genuine issue for trial." *Matsushita Elec. Indus. Co. v. Zenith Radio Corp.*, 475 U.S. 574, 587 (1986) (internal quotation marks omitted).

Facts

DeepGulf was formed in 2004 by Defendant and Rustin Howard. Defendant has been a director of DeepGulf since its inception.

In August 2005, Defendant was hired as DeepGulf's president at an annual salary of $120,000, and the following month, he signed a Noncompetition, Nondisclosure, and Developments Agreement (hereafter "the Noncompetition Agreement") with DeepGulf. The Noncompetition Agreement provides that Defendant shall not directly or indirectly compete with DeepGulf while he has a Business Relationship[1] with DeepGulf. It also provides that any Development[2] conceived by Defendant during his Business Relationship with DeepGulf is "the sole and absolute property of [DeepGulf]."

In September 2007, a potential customer contacted DeepGulf about a project in the Southeast Asian country of East Timor. Mr. Howard turned the inquiry over to Defendant, and Defendant traveled to East Timor to investigate the business opportunity. In early 2008, Defendant and two other persons[3] formed Toke to

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[1] The Agreement defines "Business Relationship" to mean "service or continued service as an employee, officer, **director**[,] or consultant . . . of DeepGulf." Doc. 140-1, at 1 (emphasis added).

[2] The Agreement defines "Development" as any "invention, modification, discovery, design, development, improvement, process, software program, work of authorship, documentation, formula, data, technique, know-how, trade secret[,] or intellectual property right whatsoever[,] or any interest therein (whether or not patentable or registerable under copyright, trademark[,] or similar statutes or subject to analogous protection) relating to the business of [DeepGulf]." Doc. 140-1, at 3 (¶6(a)).

[3] The parties disagree as to the identity of Toke's other two founding shareholders; however, it is undisputed that at the time DeepGulf acquired Toke's shares in 2012, they were owned by Defendant, Ernesto Gino Favaro, and Vincente Ximenes in equal one-third shares.

undertake the project because DeepGulf, as a U.S. corporation, could not work in East Timor.

Toke paid commissions to DeepGulf for this project and several others that Toke worked on in East Timor from 2008 to 2012. Defendant received payments from both DeepGulf and Toke over that period. The payments were comprised of W-2 wages from DeepGulf ranging from $110,000 to $132,000 per year, and shareholder distributions from Toke totaling $345,000. Other Toke shareholders received distributions as well, totaling over $950,000, but DeepGulf did not receive any shareholder distributions because it was not a shareholder of Toke.

DeepGulf acquired a controlling interest in—if not sole ownership of—Toke by December 13, 2012, at the latest. Toke has not had any projects since then.

DeepGulf has not paid Defendant's salary since March 2013. Defendant was removed as an executive officer of DeepGulf in 2017, but he remains a director of the company.

Aside from these facts (and several others interspersed in the analysis below), the parties disagree about nearly everything else. Most significantly, the parties dispute whether Defendant was supposed to be holding his one-third interest in Toke for DeepGulf's benefit or his own benefit; when DeepGulf became aware that Defendant was being paid by Toke and that he was not holding his interest in Toke for DeepGulf's benefit; whether the payments received by Defendant from Toke should have gone to DeepGulf as shareholder distributions; whether Defendant agreed to waive the payment of his salary or merely deferred its receipt until DeepGulf earned revenue or received capital investments; and whether since DeepGulf stopped paying Defendant's salary, it has earned revenue or received capital investments.

Procedural Background

In April 2018, Plaintiffs filed suit against Defendant in state court. The complaint (Doc. 1, at 22-36) alleges nine counts. Count I seeks declaratory and injunctive relief regarding DeepGulf's ownership of certain patents, patent applications, and undisclosed inventions; Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf; Counts III and IV allege civil theft; Counts V and VI allege conversion; Count VII alleges fraudulent misrepresentation; Count VIII seeks declaratory relief regarding DeepGulf's ownership of Toke; and Count IX seeks an accounting.

Defendant, then *pro se*, removed the case to this Court and filed a narrative answer asserting various defenses and counterclaims. About a year into the case, counsel appeared for Defendant and was granted leave of court to amend the answer and clean up the pleadings. The now-operative second amended answer (Doc. 116) raises various affirmative defenses[4] and alleges four counterclaims. Counterclaim I seeks an accounting; Counterclaim II alleges breach of contract for unpaid compensation; Counterclaim III seeks compensation for work and labor done under a theory of *quantum meruit*; and Counterclaim IV alleges breach of contract regarding DeepGulf's failed efforts to secure a permanent resident visa for Defendant.

In November 2019, after almost 18 months of discovery (and numerous discovery disputes), both parties filed motions for summary judgment. Collectively, the motions seek summary judgment on all of the claims and counterclaims. The motions were fully briefed and are ripe for rulings.

Analysis

Count I seeks a declaration that DeepGulf owns certain patents (numbers 9644792 and 8146667), patent applications (publication numbers 20120014751, 20120012225, and 20060130729), and other undisclosed inventions and/or patentable ideas or methods conceived by Defendant.[5] The Court finds that DeepGulf is entitled to such a declaration because the Noncompetition Agreement's definition of "Development" is broad enough to encompass the patents, patent

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[4] Duress and failure of consideration as to Counts I and II; statute of limitations and waiver as to Counts III though VI; waiver as to Count VII; and lack of standing with respect to the claims raised by Toke.

[5] *See, e.g.*, Defendant's deposition (Doc. 139-2), at 108-09 (referring to previously undisclosed developments relating to compressed natural gas and liquified natural gas).

applications, and undisclosed inventions, and it is undisputed that Defendant was in a "Business Relationship" with DeepGulf when these items were conceived since he was then (and is still now) a director of DeepGulf.

The Court has not overlooked Defendant's argument—which was raised in his deposition but not repeated in his response to Plaintiffs' motion for summary judgment—that patent number 9644792 belongs to him because DeepGulf had not paid him a salary for over two years before the patent was filed. However, as Plaintiffs persuasively argue, DeepGulf's obligation to pay Defendant a salary and Defendant's obligation to assign Developments to DeepGulf are wholly independent, so Defendant's lack of salary has no bearing on DeepGulf's ownership of the Developments under the Noncompetition Agreement. *See Gilbert & Caddy, P.A. v. JP Morgan Chase Bank, N.A.*, 193 F. Supp. 3d 1294, 1307 (S.D. Fla. 2016) ("A material breach to excuse performance only occurs when a party breaches mutually dependent covenants in a contract, and does not occur when a contract is composed of independent covenants.") (alterations and internal quotation marks omitted). Accordingly, Plaintiffs are entitled to summary judgment on Count I.

Count II alleges that Defendant breached his Noncompetition Agreement with DeepGulf. To the extent this count is based on Defendant's refusal to turn over the usernames and passwords for DeepGulf's website, it fails because even if these items are DeepGulf's property (as they likely are), Defendant has no obligation to turn them over to DeepGulf at this time because, as a director, he still has a Business Relationship with the company. *See* Noncompetition Agreement (Doc. 140-1), at ¶5 ("I acknowledge and agree that all Company Property shall be and remain the sole and exclusive property of the Company. **Immediately upon the termination of my Business Relationship with the Company**, I shall deliver all Company Property in my possession, and all copies thereof, to the Company.") (emphasis added). To the extent this count is based on the allegations in the complaint that Defendant "repeatedly expressed his intent" to leave DeepGulf to work for a competitor or to start a company that would compete with DeepGulf, the claim fails because the Noncompetition Agreement precluded Defendant from competing with DeepGulf, not merely threatening to do so. Finally, to the extent this count is based on Defendant's work for Toke, it is barred by the statute of limitations because the complaint was filed more than five years[6] after the date DeepGulf acquired a controlling interest in Toke, and from that date forward, the two companies were no longer competitors (if they ever were) and Defendant was no longer violating his Noncompetition Agreement (if he ever was) by working for Toke.

On the latter point, the Court has not overlooked DeepGulf's argument that Defendant's fraudulent concealment of his work for Toke delays accrual of the

[6] Under Florida law, the statute of limitations for a breach of contract claim is five years. *See* §95.11(2)(b), Fla. Stat.

claim; however, under Florida law, a breach of contract action accrues at the time of the breach "regardless of whether the plaintiff knew that it had a claim." *Beck v. Lazard Freres & Co., LLC*, 175 F.3d 913, 914 (11th Cir. 1999) (citing *Fed. Ins. Co. v. Sw. Fla. Ret. Ctr., Inc.*, 707 So. 2d 1119, 1122 (Fla. 1998)); *see also Pac. Harbor Cap., Inc. v. Barnett Bank, N.A.*, 2000 U.S. Dist. LEXIS 6518, at *26-27 (M.D. Fla. Mar. 31, 2000) ("[T]he doctrine of fraudulent concealment is unavailable under Florida law[.]"). Thus, even if DeepGulf was unaware that Defendant was working on projects to benefit Toke and himself rather than DeepGulf until some point within five years of when the complaint was filed, that would not overcome Defendant's statute of limitations defense. Accordingly, Defendant is entitled to summary judgment as to Count II.

Counts III through VI allege that Defendant committed civil theft and conversion by misappropriating DeepGulf's business opportunities and working on projects to benefit Toke and himself rather than DeepGulf. These claims accrued in 2012, at the latest, when Toke completed the allegedly misappropriated projects, and because the complaint was filed after the applicable statutes of limitations[7] expired, these claims are time-barred. The Court has not overlooked Plaintiffs' argument that factual disputes remain as to when DeepGulf should have discovered the

[7] Under Florida law, the statute of limitations for civil theft is five years, *see* §772.17, Fla. Stat., and the statute of limitations for conversion is four years, *see* §95.11(3)(h), Fla. Stat.

misappropriation; however, under Florida law, the delayed discovery rule does not apply to claims for civil theft and conversion. *See Davis v. Monahan*, 832 So. 2d 708 (Fla. 2002).[8] Accordingly, Defendant is entitled to summary judgment on Counts III through VI.

Count VII alleges that Defendant made fraudulent representations in connection with a private placement memorandum (PPM) that DeepGulf used to solicit funds from potential investors. Although there is some dispute as to whether the information provided by Defendant was false or misleading, this claim fails because there is no evidence that DeepGulf (as compared to the potential investors) suffered any damages in reliance on the alleged misrepresentations in the PPM. *See Echeverria v. BAC Home Loans Serv., LP*, 900 F. Supp. 2d 1299, 1308-09 (M.D. Fla. 2012) (holding that a fraudulent misrepresentation claim fails as a matter of law where the plaintiffs present no evidence that they suffered injury in reliance on the defendant's fraudulent misrepresentations). Accordingly, Defendant is entitled to summary judgment on Count VII.

Count VIII seeks a declaratory judgment as to whether DeepGulf owns all of the outstanding shares of Toke. It is undisputed that DeepGulf had acquired two

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[8] Plaintiffs' reliance on *Butler Univ. v. Bahssin*, 892 So. 2d 1087 (Fla. 2d DCA 2004), for the proposition that the delayed discovery rule applies to claims of conversion is misplaced because *Butler* did not cite *Davis* and instead relied on an earlier case, *Hearndon v. Graham*, 767 So. 2d 1179 (Fla. 2000), which *Davis* confined to its facts.

thirds of Toke's shares as of December 13, 2012, but the parties disagree as to whether DeepGulf had also acquired the remaining one third of the shares owned by Mr. Ximenes. Specifically, the parties disagree as to whether DeepGulf paid Mr. Ximenes for his shares, with Mr. Howard claiming that it did and Defendant claiming that it did not. Although this suggests that there may be a justiciable controversy between DeepGulf and **Mr. Ximenes** regarding the ownership of Toke, there is not one between DeepGulf and **Defendant**. Thus, Count VIII is due to be dismissed for lack of a case or controversy. Alternatively, this count is due to be dismissed for failure to join an indispensable party (Mr. Ximenes) because the Court cannot determine whether DeepGulf owns all of Toke's shares without also determining whether Mr. Ximenes owns any. *See Miami Herald Media Co. v. Fla. Dep't of Transp.*, 345 F. Supp. 3d 1349, 1371 (N.D. Fla. 2018) ("The indispensable-party issue may be raised on appeal and by the court *sua sponte* at any time.").

Count IX, which seeks an accounting from Defendant of Toke's revenues and expenses, appears to be premised on DeepGulf's claims that Defendant misappropriated its business opportunities and kept monies for himself that should have gone to DeepGulf. However, because "an accounting is best understood as a remedy for a cause of action, not as a cause of action in its own right," it may only be pursued where there is a viable independent cause of action. *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014). Here, because Defendant is entitled to summary judgment on all of the claims that might justify an accounting, there is no basis for the accounting requested in Count IX.

Counterclaim I seeks an accounting from DeepGulf, and unlike Count IX of the complaint, this counterclaim is based on a viable independent cause of action, *i.e.*, Defendant's breach of contract claim in Counterclaim II. However, one element of a claim for an accounting is that "a remedy at law would be inadequate." *Astrotel, Inc. v. Verizon Fla., LLC*, 2012 U.S. Dist. LEXIS 63172, at *29-30 (M.D. Fla. May 4, 2012) ("To successfully plead a claim for equitable accounting under Florida law, a plaintiff must allege that (1) a fiduciary relationship or complex transaction exists, and (2) a remedy at law would be inadequate."). Here, aside from a general "concern" that DeepGulf's monies were spent improperly, Defendant did not present any evidence that there is no adequate remedy at law for his breach of contract claim. *See Kee v. Nat'l Reserve Life Ins. Co.*, 918 F.2d 1538, 1541 (11th Cir. 1990) ("When a judgment for breach of contract is obtainable, the remedy at law is considered adequate, precluding the need for the imposition of an equitable remedy."). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim I.

Counterclaim II seeks compensation for unpaid salary that Defendant claims to be owed based on his August 2005 employment agreement with DeepGulf. DeepGulf contends that Defendant subsequently waived his contractual right to receive his salary until DeepGulf started making money again. Although the evidence is undisputed that, in late 2012, Defendant agreed that DeepGulf could stop paying him a salary until "the money comes back," *see* Doc. 139-2, at 199, the parties dispute whether the condition triggering DeepGulf's obligation to restart payment of Defendant's salary (and pay his accrued-but-unpaid salary) occurred, with Defendant claiming that "money started coming back in the company . . . only three months after [his] salary had been discontinued," *id.* at 202, and Mr. Howard claiming that DeepGulf "has not generated any revenue or investor capital since 2012," *see* Doc. 140, at 7 (¶33). Based on this conflicting evidence, summary judgment on Counterclaim II is inappropriate.

Counterclaim III seeks compensation for work and labor done, presumably under a theory of *quantum meruit*. However, because there is an express agreement addressing Defendant's salary, he is foreclosed from pursuing a claim for work and labor done under *quantum meruit*. *See Marriott Corp. v. Dasta Constr. Co.*, 26 F.3d 1057, 1069 n.24 (11th Cir. 1994) ("The presence of express contractual provisions directly addressing [the counterclaimant's] claims . . . forecloses [the counterclaimant] from recovering on its *quantum meruit* claim.") (citing *Harding Realty, Inc. v. Turnberry Towers Corp.*, 436 So. 2d 983, 984 (Fla. 3d DCA 1983), for the "settled rule of Florida law that *quantum meruit* is inappropriate where a valid express contract exists"). Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim III.

Counterclaim IV alleges that DeepGulf breached its obligation to obtain a permanent resident visa for Defendant. The undisputed evidence refutes this claim because it establishes that DeepGulf made a good-faith effort to obtain the visa by hiring a lawyer for Defendant (of his choosing), responding to government requests for information, filling out necessary forms and submitting supporting documentation, and moving money around to help with the application process. The fact that the Government ultimately denied the visa is beyond DeepGulf's control and not grounds for a breach of contract claim. Accordingly, Plaintiffs are entitled to summary judgment on Counterclaim IV.

Conclusion

In sum, for the reasons stated above, it is **ORDERED** that:

1. Plaintiffs' motion for summary judgment (Doc. 139) is **GRANTED** as to Count I of the complaint and Counterclaims I, III, and IV, and **DENIED** in all other respects.
2. Defendant's motion for summary judgment (Doc. 137) is **GRANTED** as to Counts II through VII of the complaint, and **DENIED** in all other respects.
3. Count VIII is **DISMISSED without prejudice**.

Additionally, because it appears that this case is now ready to be set for trial, it is **FURTHER ORDERED** that within 7 days of the date of this Order, the parties shall confer and advise the Court of several mutually agreeable dates during the weeks of February 10-14 and 17-21, 2020, for a telephonic case management conference to set this case for trial.

DONE and ORDERED this 27th day of January, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF FLORIDA
PENSACOLA DIVISION

DEEPGULF, INC., and
TOKE OIL AND GAS, S.A.,

Plaintiffs,

v. **Case No. 3:18cv1466-TKW-MJF**

MARC M. MOSZKOWSKI,

Defendant.

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CORRECTED* FINAL JUDGMENT

For the reasons stated in the Order on Motions for Summary Judgment (Doc. 150) and on the record at the bench trial on June 17, 2020, it is

ORDERED that:

1. Judgment is entered in favor of Plaintiff, DeepGulf, Inc., on Count I of the Complaint, and the Court declares that Plaintiff, DeepGulf, Inc., owns the following intellectual properties: United States Patent number: 9644792; United States Patent number: 8146667; United States Patent Publication number: 201200014751; United States Patent Publication number: 20120012225; United States Patent Publication number: 20060130729; and any and all undisclosed inventions and / or patentable ideas or methods conceived by Defendant beginning on September 15, 2005, through the

* Corrected only as to a typographical error in the last sentence of paragraph 1.

date of this judgment. Defendant shall not use these intellectual properties for his personal gain without DeepGulf's express consent.

2. Judgment is entered in favor of Defendant on Counts II through IX[1] of the Complaint, and Plaintiffs shall go hence without day on those claims.
3. Judgment is entered in favor of Plaintiffs on Counts I through IV of Defendant's Counterclaims, and Defendant shall go hence without day on those claims.
4. The Clerk shall close the file.

DONE and ORDERED this 2nd day of July, 2020.

T. Kent Wetherell, II

T. KENT WETHERELL, II
UNITED STATES DISTRICT JUDGE

[1] The accounting claims in Count IX of the Complaint and Count I of Defendant's Counterclaims are not causes of action but remedies tied to other counts. *See* Doc. 150, at 11-12 (citing *Zaki Kulaibee Establishment v. McFliker*, 771 F.3d 1301, 1310 n.21 (11th Cir. 2014)).